

EG Geo-technology, United States, China: Washington's drift toward China-style governance will test US AI advantage

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Washington's drift toward China-style governance will test US AI advantage

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- * In the US, personality-driven enforcement, opaque standard-setting, and proposed government stakes in leading AI labs are introducing a form of state intervention risk that investors once associated only with Chinese platforms.
 - * Eroding regulatory predictability is weakening the trust advantage US platforms held in global markets, raising investor concerns, and threatening the talent pipeline that underpins US AI leadership, just as China's models begin to close the capability gap.
 - * Institutional resistance and industry inertia suggest the system retains enough capacity to self-correct, making a cyclical disruption more likely than a permanent structural shift— though near-term setbacks should not be underestimated.
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Washington's relationship with AI firms increasingly resembles state-private sector dynamics in China. The pattern is unmistakable. When the White House summoned Anthropic's CEO over reported cybersecurity risks from its latest model and he didn't respond immediately, personal frustration seemingly drove an unprecedented use of export controls against a frontier AI model. The parallel to Ant Group's IPO cancellation in China is striking: Jack Ma's public broadside against financial regulators wounded official pride, and the world's largest IPO was pulled overnight, with regulatory rationale serving as cover.

Meanwhile, the June decision to move AI safety standards under the National Security Agency will almost certainly concentrate decision-making among a smaller group than the conventional National Institute of Standards and Technology-led process. Foreign companies and developers may end up without a seat at the table, mirroring the opacity of China's cybersecurity standardization regime.

OpenAI CEO Sam Altman has proposed a 5% government stake in AI labs, echoing Beijing's "golden share" mechanism, through which it took small but influential stakes in ByteDance, Alibaba, and Tencent to enforce political compliance. OpenAI may be calculating that a direct channel to Washington offers regulatory protection and commercial advantage, recalling how Chinese tech giants have learned

to survive.

Heightened government involvement will alter investment calculus. The Anthropic ban establishes a precedent for government interference that could extend to IPOs, market access, or product strategy. Investors who avoided Alibaba or Didi over such concerns will recognize the pattern, even if the US variant remains far milder—potentially raising the cost of capital and putting pressure on valuations.

In the near term, closeness to the administration can help deliver contracts and regulatory goodwill. But a perceived overreliance on government access (especially to one that is notoriously fickle and will be out of office within three years) raises questions about the longer-term viability of the business model at a time when investor confidence in the AI boom is already fragile. Chinese model advances have undermined the capital-intensive investment logic US labs depend on. Should market sentiment turn, political entanglement is arguably more likely to amplify the downward pressure.

Lower trust in US firms could boost Chinese competitors as they close capability gap. A meaningful commercial advantage for US AI platforms in international markets has been their perceived independence from Washington—a contrast that made them the default choice over Chinese alternatives (where government content control is a fundamental concern). That argument is now somewhat weakened. Enterprise clients in Europe, Southeast Asia, and the Middle East will weigh whether Washington will again pull the kill switch on AI infrastructure they've embedded into critical workflows, and even whether it is influencing the models themselves.

The trust decline coincides with the launch of several highly capable Chinese open-source models whose performance rivals Anthropic's advanced offerings at a fraction of the cost. Even before GLM 5.2 and Kimi's release, Chinese open-weight models already accounted for 61% of global token traffic. Deteriorating US regulatory predictability will only accelerate that shift.

Alienating talent is a serious risk. The US's most durable competitive advantage over China in AI has been its ability to attract global talent by offering an open, free market environment in which to develop ideas; indeed, most of OpenAI's founding research team were immigrants. Operating under the kind of top-down conditions Chinese platforms are accustomed to would be deeply uncomfortable for US labs. Tech leaders may learn to adapt to some extent, but many of Silicon Valley's most talented technologists are highly idealistic and are likely to balk at growing government intrusion.

The export control ban that blocked foreign nationals, including some of Anthropic's own employees, from accessing the latest model has already left a bruise. Given how small the elite talent pool is (by some estimates, fewer than 200 people can capably manage a frontier large language model project), even limited departures from major US AI platforms would be a significant loss at a critical moment.

Self-correcting forces are likely to limit fallout. The erosion of norms is concerning, but it has not gone uncontested. Multiple AI platforms have resisted or declined to participate in stake-taking discussions. Both Anthropic and OpenAI have backed global AI governance frameworks that center international stakeholder participation. Academic institutions have strong incentives to resist restrictions on cross-border research. And top talent, for now, continues to follow financial returns. Our basecase is that institutional resistance and industry inertia will prove durable enough to outlast the current disruption—but not before it has narrowed the competitive advantage that has made US models the global default choice.

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